

Reading Assignment 1 - AI-Assisted Reading Notes

Article Identification

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- Article: *"Fintech's next decade will look radically different"*
- Author: Nik Milanovic
- Publication: TechCrunch
- Date: December 22, 2019
- Topic: FinTech, open banking, embedded finance, financial infrastructure, interoperability, automation, and the future of digital financial services
- Article source:
<https://techcrunch.com/2019/12/22/fintechs-next-decade-will-look-radically-different/>

Summary of the Article

The article "Fintech's next decade will look radically different" by Nik Milanovic, published in 2019, discusses how financial technology was expected to evolve during the following decade. The main argument is that FinTech would move away from being a set of separate, verticalized apps and would instead become more portable, embedded, interoperable, and centralized in everyday digital platforms.

The author explains that the first decade of FinTech was mainly about bringing traditional financial services online. Companies created digital versions of banking, payments, lending, investing, and personal finance management. However, Milanovic argues that the next phase would be structurally different. Instead of consumers having many separate relationships with different financial apps, financial services would increasingly move into the background and become part of the platforms people already use.

The article makes four main predictions. First, financial data would become more open and portable through open banking regulation and consumer-permissioned data sharing. Second, basic financial infrastructure would become more standardized through APIs, open-source tools, and finance-as-a-service providers. Third, FinTech would become embedded into non-financial products, such as e-commerce platforms, smartphones, and large technology ecosystems. Fourth, consumers would increasingly manage financial services from a few central hubs, potentially with automated systems making financial decisions in the background.

Overall, the article argues that the future of FinTech would not simply be more banking apps or more digital banks. Instead, FinTech would become an invisible layer inside broader digital

ecosystems. The key transformation would be from standalone financial products toward integrated, automated, and platform-based financial services.

Personal Reading Notes and Initial Thoughts

The first part of the article already made me stop and think. The author says that, in the next decade, FinTech will become “portable and ubiquitous,” move into the background, and centralize into one place where money is managed for the user.

At first, I was not completely sure what this meant. In one sense, financial technology was already central in 2019. For example, card payments, POS systems, online payments, and digital banking infrastructure were already part of everyday life. In that sense, finance was already working in the background for many normal transactions.

However, I think the author is referring to something more specific: not just payments, but the broader management of personal finance. He seems to be talking about a future where savings, payments, investments, credit, and other financial decisions are managed from one central place, possibly with less direct involvement from the user.

This made me think that the limit may not only be technology. Even if the technology is advanced enough, people may not want all their financial life to be centralized or automated. Money is sensitive, and people may feel uncomfortable allowing one platform to manage too many financial decisions. The problem is also related to trust, financial literacy, and fear. Some users may not understand how these systems work, while others may understand them but still prefer to keep control.

So my first reaction is that the author’s prediction is logical from a technological point of view, but less obvious from a human point of view. Just because financial services can become centralized and automated does not mean that people will fully accept it. In FinTech, adoption depends not only on what the technology can do, but also on how people perceive risk, control, and trust.

One part that made me think was the prediction about financial services moving into one central hub. The author says that most people do not want to manage many different financial apps, and that financial services may eventually become centralized in a few places, like smartphones, accounting software, Gmail, cash registers, or other platforms people already use. He also mentions the idea of “autonomous finance,” where financial products know the user’s situation and make decisions in the background.

This part tells me a lot about how the situation looked in 2019. I was not really following FinTech at that time, but reading it now, the prediction feels quite natural. In many digital industries, users tend to move toward fewer platforms that do more things. People usually do not want to download ten different apps if one app or ecosystem can solve most of the problem. So, if this was still a prediction in 2019, it suggests that financial services were still relatively fragmented compared with other digital services.

What I find interesting is that finance seems to move more slowly than other sectors. With music, messaging, shopping, or transportation, platforms became centralized quite quickly. But with money, the process is slower because there is more regulation, more risk, and more trust involved. I can easily accept one app managing my music or food delivery, but I would be more careful with an app managing my savings, loans, payments, or investments automatically.

What I find interesting is that finance seems to move more slowly than other technology-related industries. The author compares the future development of FinTech to the evolution of computers and the internet, suggesting that finance will become interoperable, embedded, and less visible in everyday life. He even says that by 2029 FinTech will look very different from how it looked in 2019.

I understand the logic behind this prediction, but I am not sure I would have expected such a drastic change. Finance has traditionally been a slow-moving industry, mainly because it is connected to regulation, trust, security, and risk management. A new social media app or shopping platform can change very quickly, but financial services cannot always move at the same speed. If something goes wrong in finance, the consequences are more serious.

Because of this, I think the author may slightly underestimate the “hype” factor around technological change. It is true that FinTech grew very quickly and became extremely important in a short period of time. However, technological development does not always continue at the same speed forever. Sometimes there is a first phase of fast growth, followed by a slower phase where improvements continue but become less dramatic. This is similar to the idea of diminishing returns: after the most obvious innovations have already happened, each new improvement may create a smaller visible change.

For this reason, I would not expect FinTech to completely transform every few years. Even with AI and new digital infrastructure, I think finance will probably continue changing gradually rather than suddenly. There will be new features, better automation, more embedded services, and more intelligent systems, but the basic structure of the industry may remain more stable than technology enthusiasts sometimes predict. The sector can change a lot, but probably not at the same speed as less regulated digital industries.

Overall, the article made me think about the difference between what technology makes possible and what people or institutions are actually ready to adopt. The author’s predictions are convincing in many ways, especially when he talks about financial services becoming more embedded and less visible. At the same time, I think finance is different from other digital sectors because people are more cautious with money than with many other services.

My main takeaway is that FinTech does not develop only because better technology exists. It also depends on trust, regulation, user behavior, financial literacy, and the willingness of institutions to change. The article is useful because it captures the direction of the industry, but I would be more cautious about the speed of the transformation. FinTech may become more centralized, automated, and embedded, but the process is likely to be slower and more uneven than the article suggests.

Question 1

My Question

How accurate were the article's predictions from today's perspective? Looking at the period from 2019 to 2026, did FinTech actually become more open, embedded, centralized, and automated as the author predicted?

AI Answer

The article was broadly accurate, especially in identifying the direction of FinTech development. The author predicted that FinTech would become more portable, more embedded into everyday platforms, more interoperable, and less visible as a separate activity. These ideas were not perfectly realized by 2026, but many of them clearly developed in the direction he expected.

The strongest prediction was probably **embedded finance**. Since 2019, financial services have increasingly appeared inside non-financial platforms. Examples include checkout financing, in-app payments, embedded insurance, seller financing, and financial services offered through e-commerce or software platforms. This confirms the author's idea that users would not always go directly to a bank or FinTech app, but would access finance inside other services. Recent market estimates still project strong growth for embedded finance, which supports the idea that this was a real structural trend, not only hype.

The prediction about **open data and open banking** was also directionally correct, but uneven. In the UK, open banking adoption grew strongly, reaching more than 15 million users by July 2025, almost one in three adults. This supports the author's view that financial data would become more portable. However, the U.S. case shows that this development is not automatic. The CFPB's open banking rule faced legal and political challenges, and a U.S. judge temporarily blocked it in 2025. This means the author was right about the direction, but perhaps too optimistic about how smooth and universal the transition would be.

The prediction about **finance moving into the background** was also partly correct. Payments, lending, and insurance have become more embedded in digital experiences. However, the stronger idea of fully automated "autonomous finance," where platforms manage money in the background for users, has not become mainstream. Consumers still care about trust, control, and transparency when money is involved. So the author was correct about the trend, but the most advanced version of the prediction remains incomplete.

The prediction about **centralization into a few hubs** is also partly true. Smartphones, digital wallets, e-commerce platforms, and business software have become important financial access points. However, the financial world is still fragmented. People still use banks, wallets, payment apps, investment platforms, cards, and financial software separately. So the trend exists, but it has not fully reached the level of centralization imagined in the article.

Overall, the article was accurate in direction, but optimistic about speed. FinTech did become more embedded, more infrastructure-based, and more connected to non-financial platforms. However, regulation, trust, user behavior, and technical complexity slowed down the process.

Question 2

My Question

If you had to evaluate this article as a 2019 prediction about the future of FinTech, what score would you give it from 1 to 10? Considering that the author could not perfectly predict the future, were there any major factual mistakes, too much hype, or was he mostly accurate given the information available at the time?

AI Answer

I would give the article around **8 out of 10** as a 2019 prediction piece.

The article's main strength is that it identified real structural trends rather than only temporary product trends. It did not simply say that there would be more banking apps or more digital payments. Instead, it focused on deeper changes: open financial data, financial infrastructure, embedded finance, and the movement of financial services into the background. These were strong themes to identify in 2019, and many of them became more important after 2019.

There do not appear to be major factual mistakes in the article. The author correctly describes the rise of FinTech investment before 2019, the importance of PSD2 and open banking, the growth of infrastructure providers such as Stripe, Marqeta, Apex, and Plaid, and the early signs of embedded finance through companies such as Apple, Amazon, Facebook, and Shopify. These were all relevant examples at the time.

The article was also accurate in seeing that FinTech would not only compete with banks from the outside, but would increasingly become part of broader technology ecosystems. This was a strong insight. By 2026, embedded finance and platform-based financial services remain important trends.

However, the article was somewhat optimistic. It underestimates how difficult it is to make financial systems truly interoperable and automated. Open banking adoption grew, but not equally across countries. The UK moved faster, while the U.S. experienced regulatory conflict and delays.

The article also underestimates the risks of infrastructure dependency. The idea that finance-as-a-service would make it easier for any company to offer financial products was correct, but later events showed that this model can create serious operational and regulatory

problems. For example, the collapse of Synapse in 2024 froze access to customer funds and exposed weaknesses in bank–FinTech partnerships.

There is also some hype in the idea that FinTech would rapidly move toward “autonomous finance.” The technology has improved, especially with AI, but consumers have not fully handed over financial decision-making to automated systems. This is not only a technical issue. It is also about trust, accountability, financial literacy, and regulation.

So the article deserves a high score because its main direction was correct. But it should not receive a perfect score because it was too smooth in its prediction. It focused more on the technological logic than on the frictions: regulation, user trust, business-model failures, cybersecurity, and the possibility that new gatekeepers would replace old ones.

Final Score: 8/10

Question 3

My Question

Is the FinTech system really that different from 2019? The article predicted that by the end of the decade FinTech would look very different, becoming more embedded, interoperable, centralized, and less visible. Looking from 2026, has the system actually changed radically, or is it mostly the same structure with better digital tools?

AI Answer

The FinTech system is definitely different from 2019, but probably **not as radically different as the article suggested**. The best answer is that FinTech changed a lot at the product and infrastructure level, but the deeper structure of finance is still partly similar.

The article predicted that FinTech would become portable, ubiquitous, embedded, and centralized into a few places where money is managed for users. This partly happened. Open banking became much more real, especially in the UK, where open banking reached **15.16 million users in July 2025**, almost one in three adults. Open banking services also passed **2 billion API calls** in a single month, showing that financial data sharing is no longer just a niche idea.

Embedded finance also became much more important. Financial services are now more often included inside non-financial platforms, especially in payments, lending, insurance, and e-commerce. Market estimates still project strong growth: Mordor Intelligence estimates the embedded finance market at about **\$155.96 billion in 2026**, with projected growth to **\$454.48**

billion by 2031. This supports the author's idea that finance would move into the background of other services.

However, the system is not completely transformed. Most people still use banks, cards, payment apps, investment apps, and financial platforms separately. There are more integrations than in 2019, but finance has not fully centralized into one autonomous hub. The idea of "autonomous finance," where financial tools manage the user's money almost automatically in the background, remains only partially developed.

There were also setbacks that show why the transformation is slower than the article suggested. The collapse of Synapse in 2024 exposed serious weaknesses in banking-as-a-service and FinTech infrastructure. AP reported that the shutdown froze accounts for tens of thousands of consumers and businesses, and that around 200,000 accounts were affected, with Synapse's services potentially exposing up to 10 million people. After that, regulators proposed stronger requirements for banks working with FinTech partners. This suggests that the infrastructure layer became more important, but also more risky and more regulated.

FinTech investment also shows a more complex picture. The sector grew strongly after 2019, but it also went through a correction. KPMG reported that global FinTech investment fell to a seven-year low of **\$95.6 billion in 2024**, then rebounded to **\$116 billion in 2025**. This does not look like a simple exponential growth story. It looks more like a sector that matured, corrected, and then continued developing more selectively.

So the answer is: **yes, FinTech is meaningfully different from 2019, but not completely different.** The biggest changes are:

- more embedded finance,
- more open banking,
- more APIs and infrastructure providers,
- more digital wallets and platform-based financial services,
- more AI and automation,
- more regulation around FinTech partnerships.

But the basic structure has not disappeared. Banks are still central. Regulation still matters. Consumers still want trust and control. Finance is more digital and embedded, but it has not fully become invisible or autonomous.

Question 4

My Question

Do you think the article's prediction will happen in the next 10 years? Will FinTech become more centralized, embedded, automated, and invisible, or could something block

this development, such as regulation, consumer perception, trust issues, cybersecurity, or technical limits?

AI Answer

I think the article's prediction will **partly happen**, but probably not in the smooth and complete way the author imagined. FinTech will likely become more embedded, more automated, and more connected to everyday platforms. However, several forces could slow or limit this development: regulation, consumer trust, cybersecurity, platform concentration, and failures in FinTech infrastructure.

The strongest reason to believe the prediction will continue is that embedded finance is still growing. Financial services are increasingly offered inside non-financial platforms, such as e-commerce, mobility apps, accounting software, and digital wallets. Market forecasts still expect large growth in embedded finance over the next decade, which supports the idea that finance will keep moving into the background of other services.

Open banking and open finance could also push the system in the direction the author predicted. If consumers can safely share their financial data across providers, financial services become more portable and interoperable. However, this is not guaranteed. In the U.S., the CFPB's open banking rule has faced legal and political challenges, with the agency saying in 2025 that it would replace the previous rule. This shows that open finance depends heavily on regulation, and regulation can either accelerate or delay the process.

AI could accelerate the article's prediction, especially the idea of "autonomous finance." If AI systems become reliable enough, they could help users budget, save, invest, compare products, detect fraud, and optimize financial decisions. There is already evidence that consumers are experimenting with AI for financial decisions: EY reported in 2026 that nearly half of global consumers had used AI in the previous six months to support savings or investment decisions. However, adoption is uneven and trust remains a major issue.

Regulation is probably the biggest constraint. The EU AI Act treats some financial AI applications as high-risk, including AI used for creditworthiness or credit scoring, and risk assessment or pricing in life and health insurance. This does not block AI, but it makes the most sensitive uses more controlled, documented, and auditable. So AI may grow quickly in low-risk areas, such as customer support or document automation, but more slowly in areas where it directly affects credit access, pricing, or insurance eligibility.

Consumer perception is another major constraint. People may like convenience, but they may not want one platform to control too much of their financial life. This is especially true for investments, borrowing, insurance, and long-term savings. Users may accept automation for small repetitive tasks, but they may still want human control or human confirmation for important financial decisions. In this sense, the issue is not only whether the technology can work, but whether people trust it enough.

There is also the problem of infrastructure risk. The Synapse collapse in 2024 showed that banking-as-a-service and FinTech infrastructure can fail in ways that directly harm consumers. AP reported that the shutdown froze access to funds for tens of thousands of consumers and businesses, affecting around 200,000 accounts. This kind of event can reduce trust and push regulators to become stricter with FinTech partnerships.

So my prediction is that the article's vision will happen, but in a more limited and regulated way. In the next 10 years, we will probably see:

- more embedded finance,
- more AI-assisted financial services,
- more open banking/open finance in some regions,
- more financial services inside non-financial platforms,
- more automation for simple and repetitive tasks.

But we may **not** see full autonomous finance or complete centralization of personal finance into one hub. Regulation, trust, cybersecurity, and responsibility will slow the most sensitive applications.

Question 5

My Question

Are there any studies about how people feel about handing over control of their finances to AI, apps, or automated systems? I am especially interested in people who may not fully understand the technology. Do we have data on whether consumers actually trust these systems, or whether they prefer human control when money is involved?

AI Answer

Yes, there is data on this, but most studies do **not** ask directly: "Would you hand over all your finances to AI?" Instead, they usually measure related questions, such as whether people use AI for financial advice, whether they trust AI recommendations, whether they prefer human advisors, and whether financial literacy affects adoption.

The general picture is mixed:

People are increasingly willing to use AI for financial support, but they are much less comfortable letting AI make important financial decisions alone.

A 2026 TD survey found that **78% of Americans use AI-enabled tools** in daily life, but only **18%** said they would trust AI to make financial recommendations on its own. This supports the

idea that people may accept AI as an assistant, but not as an independent decision-maker for money.

EY's 2026 Global AI Sentiment Survey gives a similar picture. It found that **49% of global consumers** had used AI to support savings and investment decisions in the previous six months. However, more advanced delegation was much lower: only **14%** had allowed AI to select financial service providers on their behalf, and only **11%** had deferred to AI to manage their finances with little or no human intervention.

This is important because it shows a difference between **using AI for advice** and **giving AI control**. Many people may ask AI for ideas, explanations, budgeting help, or investment research. But giving AI actual authority to manage money is a much bigger step.

There is also evidence that trust and understanding are major barriers. The Financial Health Network found that in 2024 only **3% of U.S. households** reported using general AI chatbots for personal-finance information, and only **3%** reported using automated investing or robo-advisor apps for financial information. The same study says barriers include trust, awareness, usability, and access. Among people who did not use AI financial tools, lack of knowledge and lack of trust were among the main reasons.

This connects directly to financial literacy. A 2025 academic study using Bank of Italy survey data found that people with higher **objective financial literacy** were actually less inclined to rely on robo-advisory services. However, people with higher **subjective financial literacy** and higher **digital financial literacy** were more likely to use robo-advisors. This suggests that adoption depends not only on what people actually know, but also on how confident they feel and how comfortable they are with digital tools.

There is also evidence from the UK that AI use for money management is growing quickly. Lloyds Banking Group reported in 2025 that **56% of UK adults**, around **28.8 million people**, had used AI in the previous 12 months to help manage money. The most common uses were budgeting, savings planning, and financial education. However, the same report says trust remains a problem, with **four in five users concerned about inaccurate or outdated information**.

So the evidence supports the idea that consumers are interested in AI for finance, but mostly as a **support tool**, not as a full replacement for human judgment. People seem more comfortable with AI when it explains, compares, suggests, or automates low-risk tasks. They are less comfortable when AI makes independent decisions about investments, loans, savings, or financial providers.